

On October 17, 2023, Plaintiff filed a First Amended Complaint (“FAC”) in this matter alleging claims for breach of contract, false promise, negligent and intentional misrepresentation and breach of the implied covenant of good faith and fair dealing. Central to Plaintiff’s causes of action is his allegation that the Agreement requires AGC to produce “annual profit & loss statements, annual revenue reports, and annual expense reports” (“Reports”) to Richards for a period of five years. (FAC ¶11.) Plaintiff alleges that not only were the Reports not produced, but that AGC knew when it entered the Agreement that it could not produce the types of reports for which Plaintiff bargained. (FAC ¶ 24.)

Now before the Court is AGC’s motion for summary adjudication on the claims of false promise and misrepresentation.

II. Legal Standard

Summary adjudication is proper when there are no triable issues of material fact, and the moving party is entitled to a judgment as a matter of law. (Code Civ. Proc., § 437c(c).)

Defendant has the initial burden to show Plaintiffs’ claims have no merit by showing either (1) that one or more elements of each cause of action cannot be established or (2) there is a complete defense to the claims. (Code Civ. Proc., § 437c(p)(2); see also *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849-850.) If Defendant meets that burden, then the burden shifts to Plaintiffs to show that a triable issue of material fact exists as to the element or defense at issue. (*Ibid.*) In ruling on a motion for summary judgment, the court must view the evidence in the light most favorable to the opposing party. (*Aguilar, supra*, 25 Cal.4th at p. 843.)

The moving party bears the burden of persuasion that there is no triable issue of material fact and that she is entitled to adjudication as a matter of law. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) Summary adjudication is granted when a moving party establishes the absence of a triable issue of material fact and the right to entry of judgment as a matter of law. (Code Civ. Proc., § 437c, subd. (c).)

III. Discussion

A. Procedural Deficiencies

If summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of undisputed material facts. (Cal. Rule of Court 3.1350.)

“A motion for summary adjudication tenders only those issues or causes of action specified in the notice of motion, and may only be granted as to the matters thus specified.” (Schmidlin v. City of Palo Alto (2007) 157 Cal.App.4th 728, 743-744.) Further, “the motion must be denied if the movant fails to establish an entitlement to summary adjudication of the matters thus specified; the court cannot summarily adjudicate other issues or claims, even if a basis to do so appears from the papers.” (Ibid.)

Here, not only does the Notice of Motion not specify which causes of action AGC believes are subject to summary adjudication, the Separate Statement also fails to specifically state which causes of action are at issue.

The Notice of Motion also fails to comply with Local Rule 3.3.7, which alone provides the Court grounds to deny the motion.

AGC is warned that the failure to comply with procedural requirements in the future may result in the denial of future motions, with prejudice. However in the interest of judicial efficiency, the Court will rule on the substantive merits.

B. Substantive Arguments

AGC moves for summary adjudication on the three causes of action involving misrepresentation – 1) false promise, 2) fraudulent misrepresentation and 3) negligent misrepresentation.

“To maintain an action for deceit based on a false promise, one must specifically allege and prove, among other things, that the promisor did not intend to perform at the time he or she made the promise and that it was intended to deceive or induce the promise to do or not do a particular thing.” (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 159.) It is simply a form of intentional misrepresentation or fraud. (Ibid.)

To prove fraud, Plaintiff must show: 1) a misrepresentation (false representation, concealment, or nondisclosure); (2) scienter or knowledge of its falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 838.)

A cause of action of negligent misrepresentation is “a species of the tort of deceit.” (Conroy v. Regents of University of California (2009) 45 Cal.4th 1244, 1255.) Similar to intentional misrepresentation, the plaintiff must produce evidence of a misrepresentation, intent to induce reliance, justifiable reliance, and damages. (Ibid.) However, unlike intentional misrepresentation, the tort of negligent misrepresentation only requires that the misrepresentation be made “without reasonable ground for believing it to be true.” (Borman v. Brown (2021) 59 Cal.App.5th 1048, 1060. It does not require actual knowledge of the falsity of the statement. (Ibid.)